3.7 Relationship between Money and Prices

There is a close relationship between volume of circulation money and the price of things. 90% of the products are manufactured with the main aim of sales or meant for services. Growing crops and production are done on a commercial basis, rather than on a subsistence level. This phenomenon also increased the importance of the market and money.

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The relationship between money and price is connected with the Monetary policy.

There is a close relationship between the growth of money supply and inflation. Price controls play a very important role in a country's economic stability. This role is played by the Central Bank of our country, RBI in India.

Currency is the medium of exchange in a country. The Indian currency is called the Indian Rupee (INR). In a country, the foreign currency is called foreign exchange.

Purchasing capacity of all currencies in the world are compared using the US dollar as the standard currency. This value differs from country to country. Most of the international trade transactions are carried out in US dollar.

Activity

Bank

- Set up your classroom like a bank.
- With the help of your teacher, act as a Cashier, Branch Manager, Assistant Manager, customers etc.
- Prepare dummy challans for deposition of money, cheques, Demand Draft etc.
- Do the banking activities

3.8 Functions of Money

When money replaced the barter system, a lot of practical issues were solved. Money acts a medium of exchange, a unit of measurement, a store of value and a standard of deferred payments. It plays an important role in transactions.

Country	Currency
India	Rupee
England	Pound
European Union	Euro
Canada	Dollar
Japan	Yen
China	Yuan
Saudi Arabia	Riyal
Australia	Dollar
Malaysia	Ringgit
Pakistan	Rupee
SriLanka	Rupee

Activity

Foreign Exchange

Let the teacher bring copies of Indian rupees and foreign currencies. Distribute the foreign currencies to pairs / groups. Let the students convert it into Indian rupees and collect the equivalent amount of rupees from the teacher. When all groups complete, the foreign currency can be given to another group in the next round.

Medium of Exchange

Money should be accepted liberally in exchange of goods and services in a country.

Unit of Account

Money should be the common, standard unit of calculating a country's total consumer goods, products, services etc. For example, if a book costs ₹ 50, it means that the price of the book is equal to 50 units of money. Money is used to measure and record financial transactions in a country.

A Store of Value

Money is used as a store of purchasing power. It can be used to finance future payments.

Hots

How important is foreign exchange to one's country?

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